

Customer Retention Analysis: Executive Summary

European Central Bank Retention Strategy Project

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The Problem

Roughly 1 in 5 customers (20%) leave the bank each year. Until now, the bank has largely tried to predict who will leave based on how much money a customer has. This analysis shows that approach misses the real warning sign: whether a customer is **actively using** their account, not how wealthy they are.

What We Found

Engagement matters more than wealth. Customers who actively use their account leave at less than half the rate of customers who don't – and this holds true no matter how much money they have. A wealthy but inactive customer is not a safe customer.

A quarter of all customers are wealthy but disengaged. 2,456 customers – about a quarter of the customer base – are inactive despite holding above-average balances. This group churns at 32%, the highest rate of any customer segment we identified, and represents the bank's biggest blind spot.

220 high-value customers are at risk right now. We identified a specific, ready-to-use list of 220 customers who are wealthy (averaging €148,000 in balance and €177,000 in income), currently inactive, and have not yet left. These are the clearest candidates for immediate outreach.

Pushing customers toward more products can backfire. Customers with two products are the most loyal group in the entire dataset. But customers with three or four products churn almost universally – a pattern that does not appear to be explained by inactivity or geography alone, and needs further investigation before continuing aggressive product bundling.

Germany needs a dedicated look. German customers churn at roughly double the rate of French or Spanish customers, across nearly every way we sliced the data. This points to a market-specific issue – likely competition or service quality – that a behavioral analysis alone cannot diagnose.

What We Recommend

1. **Launch outreach to the 220-customer at-risk list** – this is the single highest-value, most time-sensitive opportunity identified.
2. **Build a re-engagement program for wealthy-but-inactive customers** rather than continuing to court them with financial offers alone.
3. **Pause expansion of 3-4 product bundling** until the cause of its churn spike is understood.
4. **Commission a market-specific review of the German customer base.**
5. **Stop treating credit card ownership as a loyalty signal** – it has no measurable effect on retention.

Bottom Line

The bank does not need to know more about who its customers *are*. It needs to pay closer attention to what its customers *do*. A shift toward engagement-based monitoring – rather than wealth-based targeting – offers a clear, low-cost path to reducing preventable churn.